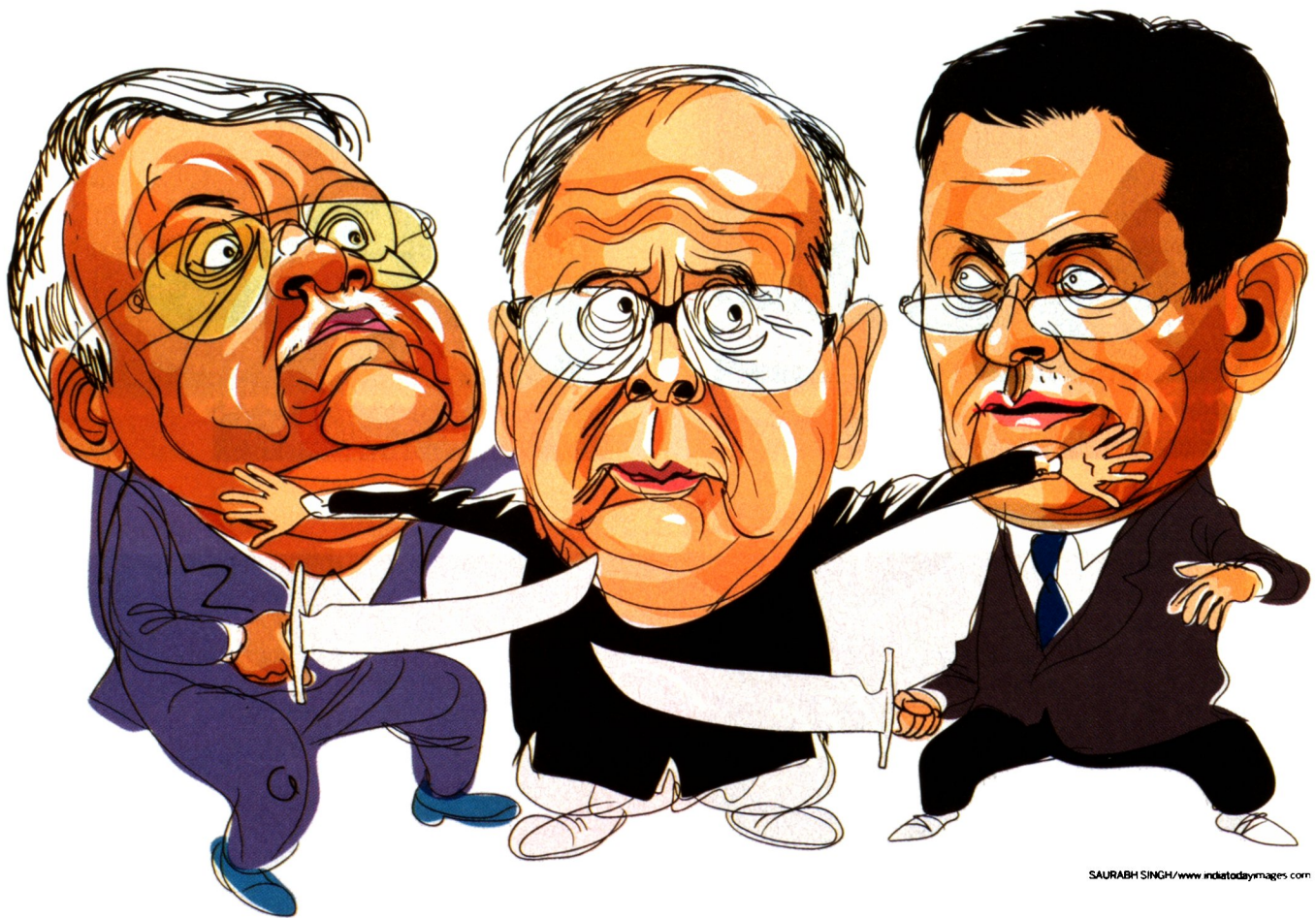


Divided They STAND

Investors are caught in the crossfire as SEBI and IRDA engage in a turf battle on Unit Linked Insurance Plans



SAURABH SINGH/www.indiatodayimages.com

By Malini Bhupta

In the financial market, both profit and the devil are always in the details. Last week, 15 crore people who put in their hard earned savings in the hybrid insurance-cum-investment instrument, Unit Linked Insurance Plans (ULIPs), got a shock in their living rooms as they watched news of 14 insurance players being banned from carrying on

their ULIP business by the Securities and Exchange Board of India (SEBI). A few hours later, insurance regulator Insurance Regulatory and Development Authority (IRDA) overruled SEBI and asked insurance companies to continue with their business as usual. By the time the Finance Ministry got into the act, a PIL had posted the matter in the courts.

The trigger to this battle lies in a SEBI order banning embedded com-

missions for mutual funds (MFs) in August last year. The asset management industry suffered as distributors dumped MFs in favour of ULIPs. In a country wracked by the economics of distribution—be it foodgrains, milk, vegetables or financial instruments—the well-intentioned but poorly executed thought spelt disaster.

In the absence of an alternative distribution mechanism, MF collections depleted. Worse, savers queued